THE RATTY2TAILS PAPERS

MONETARY HISTORY SERIES



The Tide Goes Out

Michael Howell on Treasury QE, the debt wall and who is swimming naked

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Commentary and analysis based on a published interview (Mining Stock Daily, LME Week, London, October 2026). Not an original research work by Crossborder Capital or Ratty2Tails. Not financial advice.

TL;DR

- **Late in the cycle.** Michael Howell of Crossborder Capital says global liquidity growth peaked in Q4 2025 and normally leads markets by about nine months. His read: an "air pocket" now, choppy and low-quality returns, then a liquidity bottom in 2027, possibly sooner.
- **Treasury QE.** His central claim is that policy has shifted from Fed QE to a Treasury-led version: heavy bill issuance absorbed by banks, plus buybacks that cap bond volatility, all behind a Fed that is keeping bank reserves "ample".
- **Rates matter less than liquidity.** With governments as huge net debtors, he argues higher rates can *raise* private-sector income. Bond yields reflect red-hot nominal growth, not a fiscal revolt.
- **The debt compounds.** At roughly 8% a year, US debt doubles each decade: $40tn now, $80tn by 2036, $160tn by 2046. Since 1971, debt, global liquidity and gold have all grown at about 8.5% a year.
- **China is the under-appreciated driver.** He ties gold to the People's Bank of China's balance sheet and a "dual circulation" yuan strategy.
- **His call:** bullish on real assets in the medium term, but near-term rotate from commodities into bonds, then buy the dips once central banks are forced to refill the tank.
- **Ratty's view:** a sharp, coherent framework, and a brilliant description of the problem. But its prescription is "hold the assets the printing press inflates", and the better exit is the one asset the press cannot touch.

INTRODUCTION AND SCOPE

A Pub in Mayfair, and a Question About Plumbing

> **What this is.** This essay is a commentary on a one-hour interview, *"Michael Howell: Bullish on Gold, Cautious on What Comes Next"*, recorded by Trevor Hall of *Mining Stock Daily* during LME Week in London in October 2026. The data, claims and forecasts attributed to Howell are **his**, as spoken in that interview. **It is not an original work of research.** Where I add context from earlier Ratty2Tails Papers, or push back, I say so.
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> **What it is not.** It is not an audit of Howell's numbers, and I have not independently verified his figures. Where the interview gave approximate or garbled numbers, I mark them approximate.

There is a particular kind of macro analyst who ignores what central banks say and watches what they do to the plumbing. Michael Howell is that kind. His firm, Crossborder Capital, measures "global liquidity", a broad aggregate of central bank balance sheets, private credit creation and the collateral that sits underneath repo markets, and argues that it, rather than the policy rate, drives asset prices.

In October 2026 he sat down in a Mayfair pub with Trevor Hall and laid out where he thinks we are. The headline is unglamorous: late in the cycle, choppy, difficult for fund managers, with the real fireworks reserved for a policy response that he regards as close to inevitable. Underneath the headline sits a rather radical thesis about how the modern monetary system actually works, one that fits neatly beside the earlier Papers on fiscal dominance, yield curve control and the Cantillon effect.

I

Late in the Cycle: Choppy, Not Speculative

Howell opens with evidence from the field. Most of the fund managers he has money with are down this year even though the headline indices look healthy. Beneath the surface he sees a small-cap index that is probably already in a bear market, equities abroad behaving poorly, strain in newer capital-raising areas, and junk spreads blowing out. His verdict is that we are late in the liquidity cycle.

The timing logic is the load-bearing part. Liquidity, he says, is a *leading* indicator. Its growth rate peaked in Q4 2025 and typically leads markets by around nine months, which puts the "air pocket" around now. This is not a straight-line crash call; it is a regime description. Volatility is high, so the quality of returns is poor, and it is not the kind of speculative market in which you simply buy and wait.

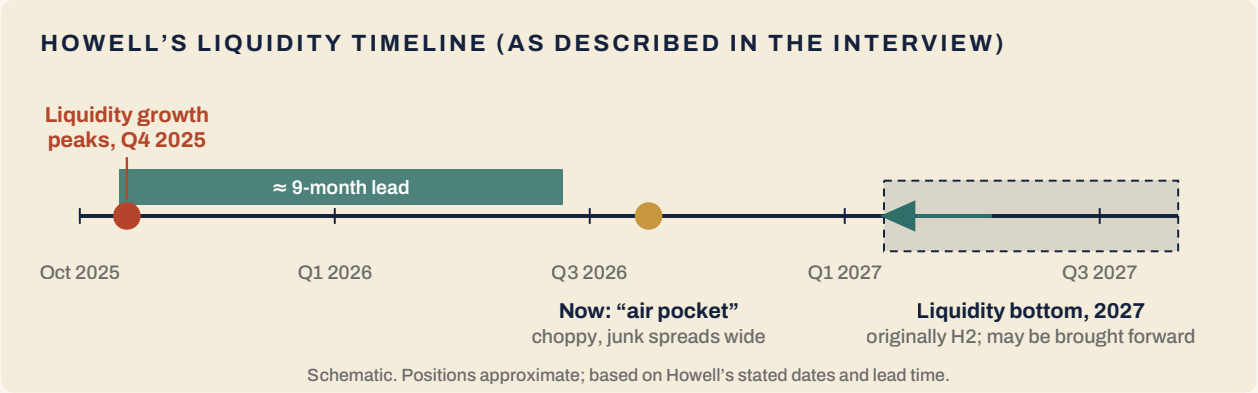


Figure 1. A late-cycle map: peak growth in Q4 2025, a typical nine-month lead, and a bottom that Howell is now willing to pull forward.

He then offers what he calls a hint of a bottom: Bitcoin. It has been holding above about $70,000, a level he considers critical, and he regards it as the most liquidity-sensitive asset on the planet. If it breaks that level, he says, we should take notice. This is worth underlining for readers of these Papers: a macro liquidity analyst with no ideological stake in cryptocurrency is, on experience, using Bitcoin as his barometer.

II

Treasury QE: The New Plumbing

The core of the interview is Howell's account of what the Federal Reserve and Treasury are now doing. He argues that the fed funds rate has been a poor guide to Fed behaviour since the Global Financial Crisis, and that the Fed is instead focused on repo and collateral markets. He says the new chair, Kevin Warsh, made the aim explicit at the latest FOMC press conference: maintain an *ample* bank reserve regime, so that banks, and by implication money markets, stay liquid.

The error, and the fix

Howell dates the pivot to Q4 2025, when, in his telling, the Fed let bank reserves fall by about $300bn in pursuit of a much smaller balance sheet. Repo spreads blew out, and the Fed reacted fast with a new acronym: reserve management purchases, or RMP. His assessment is blunt. It is QE in disguise: *"If it's yellow and it quacks, it's a duck."* Reserves were lifted again through Treasury bill purchases, and since then they have been stable even as the policy rate has moved up.

Readers of the earlier Paper on quantitative easing will recognise this as the December 2025 return to asset purchases under an "ample reserves" label. Howell's contribution is the second leg.

The second leg: the Treasury

He coins the term **Treasury QE** for two things the Treasury is doing. First, it is issuing many more **bills**. The important point is not the issuance but who buys: banks and credit providers. When banks absorb short-dated government debt, the government's deficit is being financed by the creation of bank deposits, which is monetisation in everything but name. Second, the Treasury is running **buybacks**. Howell does not think they are meant to push yields down; he thinks they are meant to *cap volatility* (watch the MOVE index). Capped volatility keeps the collateral multiplier, the factor that turns bonds into usable liquidity, high. If that multiplier collapsed, it would be a very big problem.

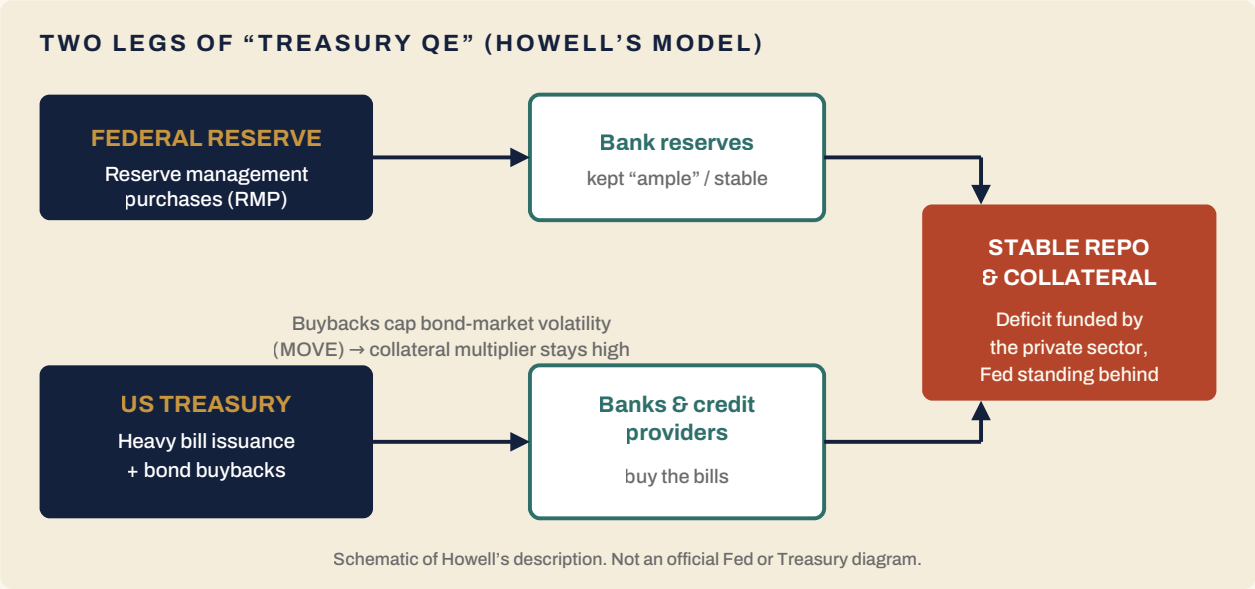


Figure 2. The Fed keeps reserves ample; the Treasury issues bills that banks absorb and buys back bonds to dampen volatility. Howell's summary: the goal is liquidity management, not interest-rate management.

Is the downside smaller?

Hall presses the obvious question: does this mean the downside is smaller? Howell's answer is honest: it should, but we will have to see. He is also clear that he does not think the Fed is directly funding the Treasury's bills in any large way. The Fed *facilitates* the private sector doing it. The deficit is being funded by banks, with the central bank as backstop. As he puts it, it is the same can being kicked, just through another vehicle.

There is a delicious irony here that Hall draws out and Howell confirms: bill-heavy financing was precisely what Scott Bessent criticised Janet Yellen for. Howell recalls Stanley Druckenmiller's remark, years ago, that Yellen's approach amounted to the economics of Argentina. Now the same method is in use, with far less outrage. His estimate of the cost: not hyperinflation, but perhaps a couple of percentage points on underlying inflation.

Editor's note. This is the Cantillon problem in a new costume. When the first receivers of newly created purchasing power are banks, bond dealers and asset-holders, rather than wage-earners, the distributional consequences are the same as in the earlier Papers. The branding changes; the mechanism does not.

Central banks were invented to protect sovereign debt markets. Everything else was commentary.

That, in compressed form, is Howell's answer to whether the Treasury market has become too important to let yields rise freely. Central banks, he says, were created to maintain the integrity of sovereign debt markets, and when push comes to shove they will go back to doing it.

He cites the UK's 2022 gilt crisis, when the Bank of England switched overnight from tightening to buying. As for whether the Fed and Treasury will formally merge, he thinks they effectively already have, and that making it official would be politically inconvenient.

III

Do Interest Rates Still Work?

Hall asks whether further rate hikes would be a mistake. Howell's response is to question what rate hikes are even meant to achieve. In a world where governments are the principal debtors to the private sector, a higher policy rate raises the interest income flowing *to* the private sector. If the state pays more, savers receive more. The textbook claim that higher rates cool the economy looks, to him, mysterious at best. Few firms are borrowing heavily for capex (the AI build-out aside), and in much of the world, notably China, investment is done by state-linked entities that do not care about the interest cost. Channels like housing and consumer credit might still bite, but the main road is, in his word, mysterious.

What matters instead is liquidity: it is a financial accident, rather than a rate, that tips economies into recession, followed by a deflationary bounce.

Why are yields rising?

Howell is scathing about the common media story that rising Treasury yields reflect fiscal deterioration. In his reading, the data contradicts it: yields are rising because the economy is hot. He says nominal US GDP growth is the fastest since the mid-1980s, when 10-year yields were 7 to 8%, so a yield of around 5.5 to 6% looks fairly priced relative to the economy. Term premia, he argues, are flat to falling, and the 10s-5s curve spread is falling too, so this is about growth and not about fiscal funding. His forward view: stronger dollar, higher yields and dear energy are together tightening conditions, and 2027 could see the economy slow meaningfully, even with the AI capex and a US deficit of around 6% of GDP.

IV

The Inflation Cocktail

On inflation, Howell splits the problem into two moving parts. There is a **monetary element**, which he puts at about 7 to 8% a year and which keeps humming along; and there is a **cost element** that can add or subtract: energy, productivity, cheap imports, taxes. For about two decades the cost side was deflationary (technology, low energy prices, cheap Chinese goods), which offset the monetary pressure so that Main Street prices barely moved. Looking ahead, he is agnostic on the cost side: AI may be a great productivity booster, or a scramble for copper and energy may push costs up. Call it a wash. The monetary element is still there.

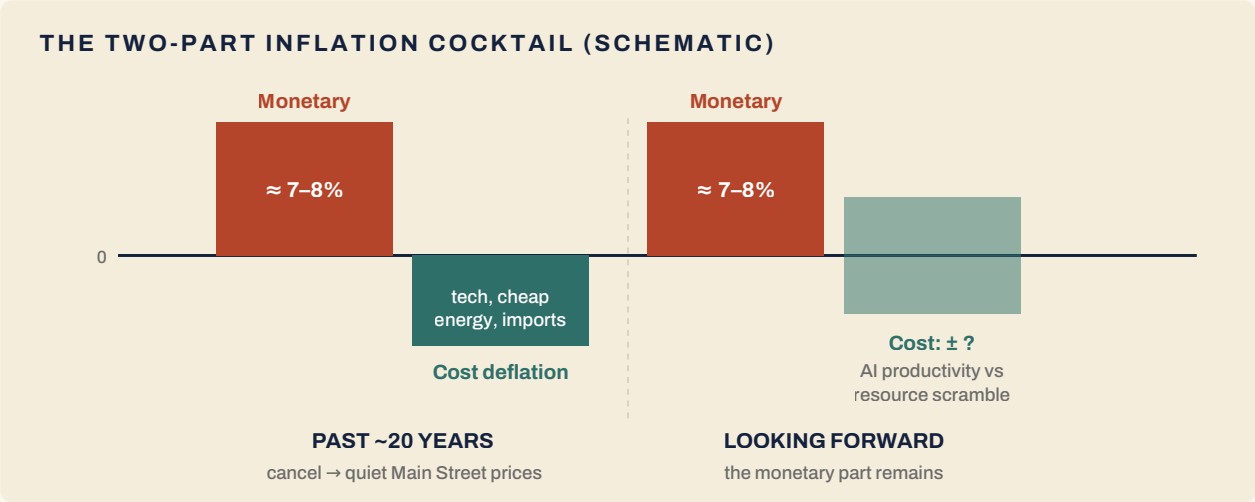


Figure 3. Bar heights are illustrative. Only the 7–8% monetary estimate comes from Howell; the cost-side magnitudes are drawn schematically to show his logic that the two parts offset in the past and may not in future.

Editor's note. A 7 to 8% monetary figure is not a prediction of 7 to 8% CPI. It is Howell's estimate of the underlying rate of liquidity and debt growth, and the whole argument is that measured consumer prices are what is left after the supply side takes its cut. Asset prices, of course, receive no such offset.

V

The Debt That Compounds

Howell argues that we live in a debt-dominated world and that government debt is the main compounding driver: ageing populations, welfare, defence, long-neglected infrastructure. Taxes can only rise so far (though he expects more wealth taxes), so the gap is ultimately closed by monetisation. And there is a refinancing cycle: average debt duration is about five years, so debt must be rolled continuously. A financial crisis, in his definition, is simply an inability to refinance, and central banks, as the ultimate source of liquidity, are then forced to bail the system out.

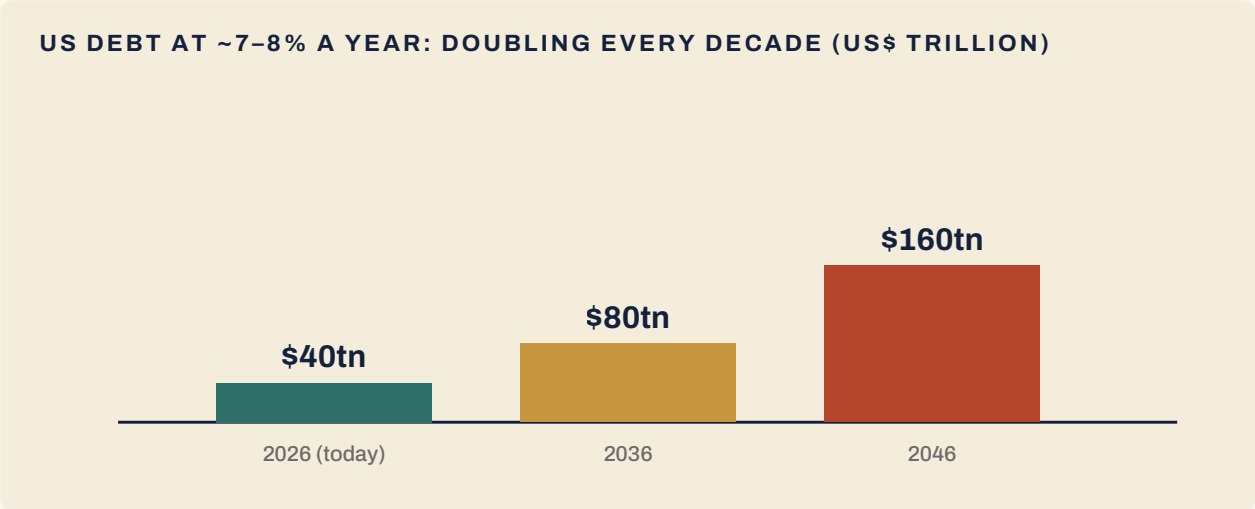


Figure 4. Howell's doubling arithmetic. Round numbers as stated in the interview; bars drawn to scale.

The 1971 benchmark

To anchor this, Howell reaches back to 1971 and the end of the gold-exchange standard. Since then, he says, US federal debt has compounded at about 8.5% a year; global liquidity, which he treats as the monetisation of that debt, at about 8.6%; and gold, at about 8.6% as well. He calls the match remarkable and asks whether it is a coincidence or how we should be thinking about things. His corollary: if debt keeps growing at 7 to 8%, global liquidity and gold have a rough pace to match. Other commodities, in his view, price off gold.

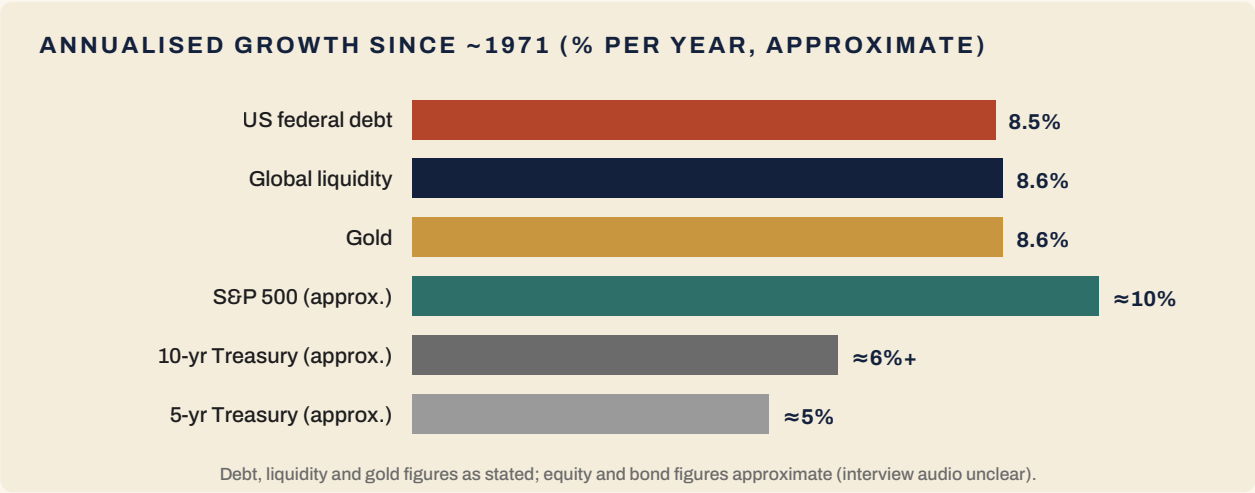


Figure 5. The "same engine" claim: debt, liquidity and gold all compound near 8.5%. Equities did better; bonds did worse.

The maturity wall

The refinancing arithmetic gets harder because of what happened after COVID. Borrowers, corporate and personal, termed out debt at near-zero rates and pushed maturities towards the end of the decade. A large volume of existing debt therefore comes back for refinancing in the next few years, on top of AI capex and new fiscal spending. His reading of the "everything

bubble" is that it was the product of lots of liquidity and no debt to refinance, so the vent was asset markets. Now the liquidity cycle is turning down while debt returns, hence, as he says, a fairly ugly picture, *unless central banks do something*.

What would force them? Heightened Treasury volatility; weak bid-to-cover at auctions; corporate defaults; a major institution impaired; or a recession risk. A 15 to 20% equity drawdown alone, in his view, would not do it. He suspects the Treasury would privately welcome it, since a rotation from equities into bonds would help funding. Many investors worldwide are very underweight fixed income, so there is cash that could move.

Who is swimming naked?

Howell channels the old Buffett line about a receding tide revealing who has been swimming without trunks. His candidate: the AI-infrastructure borrowers with weak cash flow. He notes that the debt of a prominent neocloud provider trades as if its survival were roughly a coin flip. Junk spreads are widening, and investment-grade spreads are creeping up versus Treasuries, a sign of rising demand for safe assets: Treasuries first, German Bunds second.

That prompts a short tour of Europe, where he says there is no genuine pan-European safe asset, only the Bund. When stress arrives, money flees to Germany. The widening French spread, he argues, is less about French risk premia rising than German ones falling. The eventual European answer will be the ECB buying peripheral debt, "whatever it takes", which is money printing and a reason, he says, to prefer the dollar to the euro.

VI

China, Gold and the Dual Circulation

Hall asks about Howell's earlier argument that Chinese monetary expansion is an important driver of gold. Howell calls China the elephant in the room. After the GFC it built heavily in infrastructure and property; local governments are carrying a mountain of debt so large, he suggests, that even Beijing may not know its scale. The comparison is Japan's two lost decades.

He then takes aim at a popular reading of the yield gap: US 10-year yields near 5.5% against Chinese bonds near 1.5%. Some analysts see the 400-basis-point gap as a rising US risk premium and a flight from US assets. He calls that rubbish. In his view the gap reflects a strong US nominal economy against a Chinese economy that is flat on its back. If Chinese real growth is around 2% and nominal yields around 1.5%, that implies mild price deflation, which is a debt-deflation setting.



Figure 6. Yields as stated by Howell (circa). The data are not in dispute; the interpretation is.

Beijing's way out

China, he says, has three template exits: Japan's slow wait-and-monetise (Abenomics took about twenty years but devalued the debt); and the American 1930s and Scandinavian 1990s fast devaluations. He suggests China is moving in the direction of monetisation, though not in a straight line. Plotting the People's Bank of China balance sheet against gold, he sees the balance sheet expanding well before gold's 2022 move higher and topping out around the time gold wobbled at the start of this year. Even monthly changes, he says, correlate compellingly.

The mechanism is what he calls **dual circulation**: an internal yuan that can be devalued by printing money while an external yuan is held stable through capital controls, large FX reserves, compliant state banks, and a crackdown on crypto exit routes. Real estate is flat, Chinese households avoid the stock market, and so the vent for new money is gold and silver. Retail buying has been strong, and when markets reopened after the October holiday, he notes, gold moved immediately.

A gold exchange standard, not a gold standard

Howell expects a bifurcated world: the dollar and its satellites, backed by Treasuries and perhaps stablecoins; and the yuan and its satellites. China lacks a deep, widely accepted government bond market to serve as collateral, so gold fills that role. That would be a *gold exchange standard*, as in Bretton Woods, with limited transactions (a gold-for-oil deal with a friendly supplier, say), and not a return to convertibility. Asked about Judy Shelton's role as a Treasury adviser and the speculation about a gold-backed note, he says never say never, but he does not think the US will back its currency with gold: a government with fiscal largesse needs the ability to print.

VII

Howell's Playbook: Trend Versus Cycle

Howell's positioning advice rests on separating the **trend** from the **cycle**. The trend, he believes, favours real assets: in the medium term you want commodities, gold and probably Bitcoin, and you do not want bonds. But the short-term cycle runs the other way. His call, which

he cheerfully describes as maverick: switch *out* of commodities and *into* bonds for now, because yields are generous relative to the economy and stretched commodities could fall if growth falters. Then, when the slowdown and liquidity squeeze force central banks to refill the tank, much will have fallen together (commodities, gold, Bitcoin, equities), and those dips are the entry points.

Q4 2025
Liquidity growth peak, with ≈ 9-month lead on markets

2027
Liquidity bottom: near-certain, perhaps pulled forward from H2

≈ $70k
Bitcoin level he treats as a key line in the sand

What he is watching

THE DASHBOARD

- **Bitcoin** as the most liquidity-sensitive barometer
- **The yield-curve slope** as a lagging, confirming indicator
- **The People's Bank of China**, one of the two liquidity elephants
- **Weekly Fed data** on accommodating bank reserves

THE TELLS HE WOULD ACT ON

- High Treasury-market volatility
- Poor bid-to-cover at auctions
- Corporate defaults or a major institution in trouble
- Recession risk
- Not by itself: a 15–20% equity drawdown

His closing observation is the human one: telling people to leave risk assets near the top of the cycle is the hardest job in the business. Investors will tolerate a 10% loss better than missing the last 10% of the rally. The most under-appreciated issue, he adds, is China's debt problem and the mistaken Western belief that Beijing wants, or will get, a stronger yuan. His simple test: remove capital controls tomorrow and the yuan would fall, 99 times out of 100.

VIII

Where the Rat Pushes Back

It is a stimulating framework, and parts of it I would defend. But an editor's job is to poke it.

1. Correlation is not a mechanism

The PBoC-balance-sheet-to-gold relationship, and the neat 8.5% match between debt, liquidity and gold since 1971, are striking. But the liquidity index is partly *constructed* from balance sheets and credit, and the sample is one regime. A matching long-run slope can emerge from several explanations, including plain inflation drift. Worth noting, not worth betting the farm on.

2. "Rates don't matter" is a strong claim

The income-channel argument is real: governments paying more interest does feed private income. But it ignores who receives it (the asset-rich, a very Cantillon outcome), the duration mismatch for borrowers who must refinance at higher rates (which his own maturity-wall argument depends on), and the housing and credit channels he concedes may still bite. It is hard to hold that rates are irrelevant and that the refinancing wall is dangerous.

3. The yields story has a competing reading

Howell sees term premia flat or falling. Others read persistent long-end pressure as precisely a fiscal-supply signal. I would not dismiss his data, but I would stop short of his certainty that there is no evidence anywhere. Past Papers on fiscal dominance (Leeper's active/passive regimes in particular) suggest these two stories are not as separable as he implies.

4. The prescription is a treadmill

Here is the deeper point. Howell's advice (own assets that the printing press lifts, buy the dips, wait for the central bank) is rational, but it is also a description of running to stand still. Everything on his list rises and falls with *the same liquidity tide*, including Bitcoin when it trades as a risk asset. The Papers' longer argument is that the monetary regime is what must be escaped, not merely traded. A fixed-supply bearer asset is the only item on his list whose issuance does not depend on the next rescue; its price may be volatile with liquidity in the short run, but its supply schedule is not a policy decision. That asymmetry is the whole reason to hold it with a time horizon longer than the next air pocket.

5. Forecasts are not facts

Several of Howell's central predictions (a 2027 bottom, a pivot back to easing, commodities falling in the near term) are exactly that: predictions. Take the framework; hold the timetable lightly.

IX

Summary

Michael Howell's October 2026 message is, at heart, a plumbing thesis. Liquidity growth peaked in late 2025; markets are in a choppy air pocket; the authorities, he argues, have built a Treasury-led form of QE that relies on banks absorbing bills while the Fed keeps reserves ample and the Treasury dampens bond volatility. Rates matter less than the volume and quality of collateral and liquidity. Debt compounding at 7 to 8% a year, plus a maturity wall, means that central banks will have to refill the tank sooner or later; China's monetisation is an under-appreciated driver of gold; and the medium-term trend favours real assets even if the short-term cycle favours bonds.

Whether or not his timetable is right, the structural lesson stands: when the system's survival depends on continual refinancing, the central bank is the lender of last resort for the *government*, and everyone else is a price-taker. The tide goes out; the tide comes back in; and the rat is staring up at the Federal Reserve Board, watching who gets to hold the bucket.

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Sources and Further Reading

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